ANSWER KEY

25900306

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) THIRD SEMESTER EXAMINATION OCTOBER 2025

Discipline Specific Elective (DSE) - MG3DSECOM203 - FINANCIAL SERVICES

(2024 ADMISION ONWARDS)

Maximum Marks: 70

Part A

Answer any 20 questions. Each question carries **1** marks

1. B:Due diligence certificate
2. B:It pools money from large entities like pension funds and invests in later-stage ventures
3. C:Exporter B – forfaiting, because it matches long-term, high-value receivables
4. B:Discount brokers
5. A:Hire purchase
6. C:Corporate financial advisory and fund-raising
7. D:Gujarat Venture Finance Ltd. (GVFL)
8. D:Full factoring
9. B:Depository Participant
10. B:The likelihood of timely repayment of debt
11. D:Pooling savings and lending to productive sectors
12. B:Asset-Backed Securitisation
13. C:Advisory function
14. A:Operational efficiency
15. C:Lessor – Lessee
16. B:Controlling inflation and credit flow
17. B:Assess the quality of asset pool
18. B:The expected value of the asset at the end of the lease term
19. A:Reduce risk perception
20. C:Both CRISIL & CARE
21. B:Attracting foreign investments Or D – Strengthening Domestic Capital Markets
22. B:Reserve Bank of India (RBI)

[1x20 = 20]

Part B

Answer any 25 questions. Each question carries 2 marks

23. A:(1) and (4) only
24. A:Both statements are true and reason explains assertion
25. A:Companies get lower borrowing cost; investors get better risk assessment

26. A:A, B, and D only
27. A:1 & 2 only
28. A:(1), (2) and (3) only
29. A:Stock Broker: Intermediary in the Stock Market
30. A:Both statements are true
31. A:A, B, and C only
32. A: a–I, b–II, c–III, d–IV
33. B:Statement I is true, and Statement II is false
34. A:Both statements are true and reason explains assertion
35. C:Offer 3-in-1 accounts integrating savings, demat, and trading.
36. A:Organized and unorganized sectors
37. A:Both A and R are true, and R is the correct explanation of A
38. A:Lessee selects asset → Lessor purchases asset → Asset given to lessee → Lessee pays rentals → Asset returned to lessor
39. B:Designated exchange
40. A:Fraud detection, risk management & efficiency
41. C:Advisory services
42. B:Reputational risk
43. D:(1), (2) and(3)
44. C:Project rating – Individual investor's creditworthiness
45. A:1, 2 & 3 only
46. A:Both statements are true and reason explains assertion
47. C:Trade Sale
48. B:Lessee has the option to buy the asset at a nominal price at lease end
49. A:Future prospects and intrinsic value of the firm

[2x25 =50]

25900306- B

Discipline Specific Elective (DSE) - MG3DSECOM203 - FINANCIAL SERVICES

Maximum Marks: 70

Part A

Answer any 20 questions. Each question carries **1** marks

1. B:Assess the quality of asset pool
2. C:Lessor – Lessee
3. B:Discount brokers
4. C:Exporter B – forfaiting, because it matches long-term, high-value receivables
5. A:Hire purchase
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8. B:The likelihood of timely repayment of debt
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11. D:Gujarat Venture Finance Ltd. (GVFL)
12. B:Depository Participant
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15. B:It pools money from large entities like pension funds and invests in later-stage ventures
16. B:Controlling inflation and credit flow
17. D:Full factoring
18. B:Asset-Backed Securitisation
19. B:Due diligence certificate
20. A:Operational efficiency
21. B:Attracting foreign investments Or D – Strengthening Domestic Capital Markets
22. A:Reduce risk perception

[1x20 = 20]

Part B

Answer any 25 questions. Each question carries 2 marks

23. A: A, B, and C only
24. A: a–I, b–II, c–III, d–IV
25. A:Future prospects and intrinsic value of the firm
26. C:Offer 3-in-1 accounts integrating savings, demat, and trading.
27. A:Stock Broker: Intermediary in the Stock Market

28. A:(1), (2) and (3) only
29. B:Lessee has the option to buy the asset at a nominal price at lease end
30. B:Statement I is true, and Statement II is false
31. A:Fraud detection, risk management & efficiency
32. A:(1) and (4) only
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36. A:A, B, and D only
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